WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

TAJIKISTAN

Eurasia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Dushanbe	Capital and seat of government; centre for banking, services and the state investment authority, and host of the Dushanbe Invest forum	Financial services, construction, retail, administration
Rogun / Vakhsh river cascade	Site of the Rogun hydropower plant, designed for six 600 MW units; two are operating and the third is scheduled for September 2027, with output expected to reach about 14.4 billion kWh a year	Hydropower, construction, energy-intensive industry
Ayni district / Zarafshan valley (north-west)	Core of the antimony sector, where Tajikistan produced around 20% of global supply in 2025; a new plant producing up to 5,000 tonnes of metallic antimony a year opened in July 2026	Critical minerals, gold, mineral processing
Sughd region / Khujand (north)	Northern industrial and trade hub in the Fergana Valley, home to the Sughd Free Economic Zone and strengthened by the 2025 border treaties with Kyrgyzstan and Uzbekistan	Light manufacturing, textiles, agro-processing, cross-border trade
Tursunzoda (west)	Base of the Tajik Aluminium Company (TALCO), the country's flagship metals producer and a partner in antimony development	Aluminium, metals, industrial services
Khatlon region (south)	Main agricultural region, hosting the Dangara, Kulob and Panj Free Economic Zones on routes toward the Afghan border	Agriculture, cotton processing, food processing, logistics

INVESTOR ENTRY ROUTES

- State Committee on Investment and State Property Management, the national investment authority, which coordinates investor support, reports national investment results and announced the $3.1 billion of agreements signed at Dushanbe Invest-2025
- Law on Investments and Promotion of Investment Activity (2025), providing equal treatment for foreign and domestic investors, a 15-year stabilisation guarantee and expropriation only in the public interest with market-value compensation

- Investment agreements under the Law on the Investment Agreement for priority projects, which can include tax and customs incentives, stability guarantees, simplified licensing and foreign-exchange flexibility
- Five Free Economic Zones (Sughd, Panj, Dangara, Kulob and Ishkoshim) exempting residents from most national taxes, with minimum investments of $500,000 for manufacturing, $50,000 for trading and $10,000 for services
- Currency regime overseen by the National Bank of Tajikistan: investors may convert and transfer post-tax profits, dividends and sale proceeds abroad, subject to AML and sanctions compliance checks
- Corporate income tax holidays of two to five years for production companies, scaled to founders' capital investment from $200,000 to above $5 million, plus sector incentives for tourism, technology and agriculture
- Consultative Council on Improvement of Investment Climate, chaired by the President, providing a standing channel for public-private dialogue on regulatory reform

MARKET-ENTRY OBSERVATION

Tajikistan in October 2026 is one of Eurasia's fastest-growing economies. GDP grew 8.4% in 2025 and 8.2% in the first half of 2026, with industrial output up 14.1%, fixed-asset investment up 18.4% and exports up 57.2% on the back of precious metals and minerals; the EBRD forecasts 7.9% growth for 2026. Foreign investment inflows reached $6.93 billion in 2025, up 35% year-on-year, and the Dushanbe Invest-2025 forum produced 26 agreements worth about $3.1 billion, led by energy. Macroeconomic management has been recognised externally: Moody's upgraded the sovereign to B2 in March 2026, its highest rating to date, while S&P moved its outlook to positive. Inflation of 4.1% sits within the National Bank's 5% ±2 point target, the refinancing rate has been held at 7% since January 2026, public debt was a moderate 19.7% of GDP at end-2025, and international reserves reached a record $6.8 billion in May 2026, covering 8.6 months of external payments. A new investment law adopted in 2025 has strengthened guarantees for foreign investors.

Tajikistan's principal structural feature is its reliance on migrant remittances, estimated by the ADB at about $9.2 billion, or 52% of GDP, in 2025 — the highest share in the world — with Russia the main host country. These flows have proved resilient and have underpinned a current account surplus of 15.5% of GDP and the strongest reserve position in the country's history. The ADB expects remittances to ease gradually to around 44% of GDP, and the government is broadening the export base in parallel: Tajikistan is now the world's third-largest antimony producer, gold exports are growing strongly, Rogun is adding power capacity for domestic industry and regional export, and CASA-1000 is due to open an electricity export route to Pakistan in 2027. For investors, this diversification drive is creating openings in mining and processing, energy, manufacturing and export logistics, supported by multilateral co-financing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Remittance dependence	Remittances of about 52% of GDP support consumption and the balance of payments, so changes in migration rules or demand in Russia can affect household spending	Record reserves and a current account surplus provide a buffer; investors in consumer sectors can plan for gradual normalisation while export-oriented sectors gain from diversification
Sanctions compliance in the banking sector	The EU listed three Tajik banks under its 19th Russia sanctions package in November 2025; all three were removed in April 2026 after Tajik authorities strengthened AML and compliance standards	Take sanctions and AML legal advice, screen counterparties and banks for Russia-linked exposure, and route payments through well-capitalised banks with established correspondent relationships
Afghan border security	Attacks from Afghan territory in late 2025 killed five Chinese nationals working in southern border districts, and some foreign governments still advise against travel to border areas	Most commercial activity is in Dushanbe, the north and central regions; for border projects, apply professional security planning, as Chinese contractors have done in resuming work under armed protection since April 2026
Financing and pace of Rogun and the power sector	Rogun is a $6.2 billion project and electricity tariffs remain below cost	Multilateral backing is growing, including $650 million in World Bank grants and

Issue	Potential Impact	Possible Mitigation
	recovery, which the IMF has identified as a reform priority	AIIB, Islamic Development Bank and Arab fund commitments; tariff reform and new capacity open opportunities in generation, grids and power-using industry
Landlocked geography and trade balance	Imports still exceed exports, at about $4.4 billion against $1.4 billion in January–May 2026, and trade routes depend on neighbouring countries	Exports are growing fastest, rising 57% in H1 2026; the 2025 border treaties with Kyrgyzstan and Uzbekistan improve Fergana Valley trade, and export-oriented and import-substituting projects benefit directly
Governance and state-enterprise transparency	The IMF has recommended stronger governance and transparency of state-owned enterprises and further anti-corruption measures	Use investment agreements with documented guarantees, international arbitration clauses and the 2025 investment law's complaint and out-of-court dispute mechanisms
Export concentration and currency management	Exports are concentrated in gold, antimony, aluminium and cotton, and the IMF has encouraged greater exchange-rate flexibility	Apply standard hedging for local-currency exposure; reserves covering 8.6 months of external payments and a growing minerals base support currency stability

INVESTOR RISK NOTE

Tajikistan's risk profile is that of a fast-growing frontier economy with strengthening fundamentals: sustained growth above 8%, low public debt, record reserves and the first-ever B2 sovereign rating from Moody's. The country's main sensitivities are external — remittance flows linked to Russia, security on the Afghan border, and the compliance environment created by Western sanctions on Russia — and each is being actively managed. The prompt removal of three Tajik banks from the EU sanctions list in April 2026, following tighter AML standards, shows a constructive approach to compliance, though investors should still take sanctions and AML legal advice and screen banking and commercial counterparties for Russia-linked exposure. Security incidents have been confined to remote southern border districts, with major commercial centres unaffected. The 2025 investment law, investment agreements with stabilisation guarantees and the strong presence of multilateral lenders give investors practical tools to manage risk, while diversification into minerals and power exports is steadily broadening the economy's base.

MARKET ACCESS

Tajikistan has been a WTO member since 2 March 2013 and is a member of the Commonwealth of Independent States, but not of the Eurasian Economic Union, which gives it flexibility in its trade policy. It benefits from the EU's Standard GSP, which reduces duties on around two-thirds of EU tariff lines, and has expressed interest in GSP+; the US engages through the 2004 Trade and Investment Framework Agreement with Central Asia. China and Russia are its largest trading partners, with Switzerland (gold) and Kazakhstan next; in January–May 2026 Switzerland took 36.3% of exports, China 25.7% and Turkey 7.6%. The 2025 border treaties with Kyrgyzstan and Uzbekistan have reopened crossings and improved regional connectivity, and the CASA-1000 power line, expected to begin commercial operation in summer 2027, will open a southern electricity export route to Pakistan.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Emomali Rahmon)	Sets national development and investment priorities, including Rogun and industrialisation, and chairs the Consultative Council on Improvement of Investment Climate	Primary reference point for strategic direction and priority-project support
State Committee on Investment and State Property Management	National investment authority; coordinates investor facilitation, state property and investment-forum deal flow	Standard first point of contact for market entry, incentives and investment agreements

Actor	Why It Matters	Waverley Engagement Angle
National Bank of Tajikistan	Monetary authority; sets the refinancing rate, manages reserves and supervises banks, including AML and sanctions-compliance standards	Relevant for currency, repatriation and banking-partner due diligence
Ministry of Finance	Manages the budget, public debt and Rogun financing arrangements with multilateral lenders	Key counterpart for public-investment, PPP and co-financed projects
Ministry of Energy and Water Resources	Leads hydropower policy, power-sector reform and regional electricity projects including Rogun and CASA-1000	Essential partner for energy and power-export engagement
Tajik Aluminium Company (TALCO)	Largest industrial company and partner in the Konchoch antimony development through TALCO Gold	Important counterpart for metals, minerals and processing opportunities
Free Economic Zone administrations	Manage the Sughd, Panj, Dangara, Kulob and Ishkoshim zones and their tax and customs regime	Direct route for manufacturing, processing and logistics entry

CURRENT INTERNATIONAL BUSINESS CHANNELS

AmCham Tajikistan is the leading international business association, with members spanning banks, law and accounting firms and international bodies including the EBRD and IFC, while the Chamber of Commerce and Industry of the Republic of Tajikistan is the main channel to domestic business. The President's Consultative Council on Improvement of Investment Climate provides a structured forum for public-private dialogue, and the Dushanbe Invest forum, whose 2025 edition produced 26 agreements worth about $3.1 billion, is a principal venue for project announcements and agreements. Development finance is a strong channel: the EBRD has a €501 million portfolio across 77 active operations, and the World Bank, ADB, AIIB, Islamic Development Bank and Arab development funds are active in energy and infrastructure, offering co-financing and partnership opportunities.

INVESTOR PROFILE BEST SUITED

Tajikistan best suits investors with a long-term horizon and an appetite for frontier-market growth: mining and critical-minerals investors drawn by the country's position as the world's third-largest antimony producer and growing gold output, with rising interest from the US and Japan; energy and infrastructure investors, often alongside multilateral lenders, in hydropower, transmission and power-intensive industry; manufacturing, textile and agro-processing investors using the Free Economic Zones to add value to cotton and agricultural output; and consumer, retail and construction businesses serving a fast-growing domestic market. Investors with strong compliance frameworks, local partners and experience of DFI co-financing are best placed to benefit.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the State Committee on Investment and State Property Management
Open dialogue with the national investment authority on sector incentives, FEZ options and eligibility for an investment agreement under the 2025 investment law.

STEP 2: Secure guarantees through an investment agreement
For larger projects, negotiate documented stabilisation, tax and foreign-exchange terms and include international arbitration provisions.

STEP 3: Commission sanctions, AML and banking due diligence
Take legal advice on EU, UK and US sanctions, screen counterparties for Russia-linked exposure and select banking partners with strong correspondent relationships.

STEP 4: Partner with development finance institutions
Explore co-financing and risk-sharing with the EBRD, World Bank Group, ADB and AIIB, which are active across energy, infrastructure and private-sector development.

STEP 5: Target minerals, energy and FEZ-based processing
Prioritise antimony and gold processing, Rogun-linked power opportunities and export-oriented manufacturing in the Sughd and Khatlon zones, with security planning for southern border projects.